



Welcome to Financial Accounting

Tuck Business Bridge Program

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Day 4 Agenda

- **Bridge 10K – Part 3 handout**
- **Financial Statements Articulation - Revisited**
- **Statement of Cash Flows - Revisited**
 - Operating, Investing, Financing
 - Articulates
 - Direct versus Indirect
- **Three Statement Model**
 - Historical Financial Statement Data
- **Financial Statement Analysis**
 - Horizontal Analysis, Vertical Analysis, Ratio Analysis
 - Benchmarking
 - Limitations



Statement of Cash Flows

Cash Flows

Operating Activities

Investing Activities

Financing Activities

Beginning Cash Balance

Ending Cash Balance



Statement of Cash Flows

Direct Method Versus Indirect Method

Indirect Method starts with Net Income

Operating

Net Income

Add in Depreciation Expense & Amortization Expense, if any



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Statement of Cash Flows - continued

Net Income

Add in Depreciation Expense & Amortization Expense, if any

Add in Losses (for example, loss on sale of building)

Less Gains (for example, gain on sale of building)



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Statement of Cash Flows - continued

Net Income

Add in Depreciation Exp & Amortization Exp

Add in Losses (for example, loss on sale of building)

Less Gains (for example, gain on sale of building)

Account for Changes in Current Assets

Account for Changes in Current Liabilities



Statement of Cash Flows - continued

Account for Changes in Current Assets:

An increase in current assets is subtracted

A decrease in current assets is added

Account for Changes in Current Liabilities:

An increase in current liabilities is added

A decrease in current liabilities is subtracted



Statement of Cash Flows

Investing

Long-Term Assets

Property, Plant and Equipment

Investments – in other companies



Statement of Cash Flows

Financing

Debt

Equity

common stock

dividends



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3-statement model

Enter historical data, as applicable

Balance Sheet

Income Statement

Statement of Cash Flows

Analyze Financial Statements

Forecast Financial Statements

Forecast Free Cash Flows



Historical Data

3 statement model template



Historical Data

Download 3 years of Financial Statements

Balance Sheet

Income Statement

Statement of Cash Flows

Using 3 statement model template, enter financial statement data, as applicable

Balance Sheet

Income Statement

Statement of Cash Flows

Remember balance sheet must balance



Financial Statement Analysis



Financial Statement Analysis

Historical

Horizontal Analysis

Vertical Analysis

Ratio Analysis



Financial Statement Analysis

Historical

Income Statement Analysis Section



Financial Statement Analysis

Historical

Horizontal Analysis

Revenue Growth

$\text{Change in Revenue} / \text{Revenue in prior period}$



Financial Statement Analysis

Historical

Vertical Analysis

Costs

Gross Profit Margin

Gross Profit / Revenue



Financial Statement Analysis

Historical

Vertical Analysis

SG&A Expense (Percent of Revenue)

$\text{SG\&A Expense} / \text{Revenue}$



Financial Statement Analysis

Historical

Ratio Analysis

Depreciation (Percent of Cap Ex)

capital expenditures

Depreciation Expense / Cap Ex



Financial Statement Analysis

Historical

Balance Sheet Analysis Section



Financial Statement Analysis

Historical

Ratio Analysis

Working Capital

AR Days (Revenue basis)

Inventory Days (COGS basis)

Accounts Payable Days (COGS basis)

Accrued Liabilities (Percent of SG&A)

Days or %

$AR/Revenue \times 365$

$Inventory/COGS \times 365$

$AP/COGS \times 365$

$Accrued Liabilities/SG\&A$



Financial Statement Analysis

Historical

Net Working Capital

Add AR

Add Inventory

Less AP

Less Accrued Liabilities



Financial Statement Analysis

Historical

Ratio Analysis

%

Other Current Assets (Percentage of Revenue)

Other Current Assets/Revenue

Other Current Liabilities (Percentage of SG&A)

Other Current Liabilities/SG&A



Financial Statement Analysis

Historical

Ratio Analysis

Capital Expenditures

%

Capital Expenditures (Percent of Revenue)

Capital Expenditures/Revenue



Financial Statement Analysis

Historical

Income Statement Analysis Section Completed

Balance Sheet Analysis Section Completed

Next steps...



Financial Statement Analysis

Historical

Consider what the numbers may be telling you.

Consider the trend.

Understand the limitations.



Financial Statement Analysis

Historical

Limitations

Just one part of the “story”

Based on historical data

Based on specific time period



Financial Statement Analysis

Historical

Benchmark

Consider competitor / comparison data

Consider industry data

Realize the limitations with benchmarking

Supplement quantitative analysis with qualitative analysis



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Homework

- **Review the 3-statement model and Financial Statement Analysis details in this PowerPoint**
- **Please work with your group.**
 - **Talk through the sections of the Excel worksheet discussed in class.**
 - **Download capstone company's financials**
 - **Summarize and enter applicable financial statement data**
 - **Check if your numbers tie and your balance sheet balances**
 - **Review the numbers in the Historical Financial Analysis section**
- **Complete Capstone Project 10K assignment – Class 5 handout.**
 - **Applicable financial statements**